

WINDS OF CHANGE

AMIDST GROWING CALLS FOR THE INDIAN ECONOMY TO LOWER ITS CARBON FOOTPRINT, LARGE INDIAN CONGLOMERATES ARE STEPPING UP EFFORTS TO LOWER EMISSIONS AND MEET THEIR NET-ZERO TARGETS WITH SOME URGENCY. BUT CHALLENGES REMAIN

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IN JANUARY 2020, the World Economic Forum sent out letters urging companies attending the Davos summit to commit to net-zero carbon emissions by 2050 or earlier. While most companies started thinking about this, an Indian company—Infosys—was well on its way to turning carbon neutral. In October 2020, it became carbon neutral across its value chain, 30 years ahead of the 2050 timeline set by the Paris Agreement.

How did Infosys do it? First, it built a strategy around energy efficiency, renewable energy (RE), and carbon offsets. Then, it evolved a pathway for Scope 1 (direct emissions from controlled sources), Scope 2 (indirect emissions from purchased electricity sources), and Scope 3 (other indirect emissions), to achieve carbon neutrality. “Over a decade of focussed effort has gone into becoming carbon neutral. We

started the journey in 2008. In 2011, we made a voluntary commitment to become carbon neutral by 2020,” says Bose Varghese, Head of Green Initiatives at Infosys. Over this period, the company invested heavily in energy efficiency, RE and community-based carbon offset projects, he adds. In 2020, when Infosys turned carbon neutral, its RE component was 44 per cent, while emissions from the remaining 56 per cent of electricity had to be offset to achieve carbon neutrality. RE usage has grown to 53.8 per cent in FY22.

Over the past few years, there has been a growing consensus among businesses to lower their carbon footprint. Some of India Inc.’s biggest names such as Reliance Industries, the Adani Group, TCS, HDFC Bank, Wipro, Mahindra & Mahindra, JSW Energy, ITC and Dalmia Cement have declared net-zero targets. And, 64 compa-

nies have pledged to reduce greenhouse gas (GHG) emissions under the Science-Based Target Initiative (SBTi)—a global alliance enabling businesses to establish their own climate pledges.

But why has India Inc. taken to this endeavour with such gusto? One reason, says Rahul Prithiani, Senior Director of Energy, Commodities and Sustainability at CRISIL, could be that a class of investors is looking at a more ESG-friendly world. “If corporates want to access those pools of capital, they need to move the needle on ESG,” he says. And while it might happen quickly in services-linked sectors, it will take some time for the manufacturing sector to get there.

EVERY STEP COUNTS

India is neither a top polluter, nor does it have a high per capita emis-